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Supreme Court, U.S.
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In The

Supreme Court of the United States

October Term, 1996

HUMANA, INC., AND HUMANA HEALTH INSURANCE OF NEVADA, INC.,

Petitioners,

v.

MARY FORSYTH, MARIETTA CADE, WILLIE ANDREWS, MARY LOU BUEHLER, HELEN STAVES, RANDOLPH BRATTON, AND SEARLE AUTO GLASS, INC.,

Respondents.

On Petition For Writ Of Certiorari To The United States Court Of Appeals For The Ninth Circuit

RESPONDENTS' OPPOSITION TO HUMANA'S PETITION FOR WRIT OF CERTIORARI

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QUESTION PRESENTED

Whether this Court should grant the Petition for Writ of Certiorari submitted by Humana, Inc. and Humana Health Insurance of Nevada, Inc., which asks this Court to decide whether the application of RICO anti-fraud provisions to insurance kickback schemes is pre-empted by the McCarran-Ferguson Act, when the inter-circuit split is negligible and insufficiently developed, and the only Court of Appeals cases deeming RICO pre-empted by McCarran-Ferguson are wrongly and inadequately reasoned or squarely conflict with this Court's bedrock pre-emption jurisprudence.

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OPINION BELOW

The Ninth Circuit Court of Appeals' decision in this case is reported as *Forsyth v. Humana, Inc.*, 114 F.3d 1467 (9th Cir. 1997) (withdrawing and superseding its own decision in *Forsyth v. Humana, Inc.*, 99 F.3d 1504 (9th Cir. 1996)). The District Court's opinion, also entitled *Forsyth v. Humana, Inc.*, is found at 827 F. Supp. 1498 (D.Nev. 1993). The decisions of both courts are included in the petition for certiorari of the Petitioners.

JURISDICTION

The decision upon which Petitioners seek review was entered by a panel of the Ninth Circuit Court of Appeals on May 23, 1997. Humana, Inc., and Humana Health Insurance of Nevada, Inc., (hereinafter, "Petitioners") submitted a Petition for Writ of Certiorari to this Court on August 18, 1997. This Court has jurisdiction to review that decision as stated therein by Petitioners. Respondents bring this Opposition to Humana's Petition for Writ of Certiorari pursuant to Rule 15 of the Rules of the Supreme Court of the United States.

The Ninth Circuit Court of Appeals exercised jurisdiction under 28 U.S.C. § 1291. The district court had jurisdiction over this Class Action pursuant to 28 U.S.C. § 1331.

STATUTES AT ISSUE

This Opposition concerns the Racketeer Influenced and Corrupt Organizations Act (RICO) 18 U.S.C. § 1951 et seq., and section 2(b) of the McCarran-Ferguson Act, 15 U.S.C. § 1012(b). Relevant portions of RICO and the McCarran-Ferguson Act are included within Appendix C of Humana's Petition for Writ of Certiorari.

STATEMENT OF THE CASE[1]

84,000 Nevada citizens and business entities brought this class action suit as a result of billing fraud and false representations in advertisements by their health insurance provider, Humana Health Insurance, Inc,[2] and Antitrust violations by Humana, Inc., owner of a chain of hospitals including Humana Hospital Sunrise in Las Vegas, Nevada.[3] Humana, Inc., has since merged with Columbia/HCA, who petitioners concede is beneficially interested.

Humana Insurance sold employee group health care insurance policies to the class. The typical policy was based on an 80%/20% co-pay system by which

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[1] Portions of this Statement of the Case outlining the general background of this litigation are reproduced in the Statement of the Case in Respondents' Conditional Cross-Petition for Writ of Certiorari filed concurrently herewith.

[2] Hereinafter, "Humana Insurance."

[3] Collectively referred to as the "Humana defendants."

the insured would pay 20% of any hospital bill incurred at Humana Hospital Sunrise, and the remaining balance would be satisfied by Humana Insurance. In reality, Humana Insurance negotiated a secret 89% discount with Humana Hospital. To conceal this discount, Humana Insurance remitted payment for 80% of the full, non-discounted hospital bill via check to Humana Hospital and, in turn, Humana Hospital would "kickback" approximately 89% of that payment to Humana Insurance through a monthly, inter-company ledger transfer. Accordingly, a hypothetical $1,000 Humana Hospital bill would result in payment of $200 by the patient, and roughly $100 by Humana Insurance, instead of the contractually agreed upon amount of $800. The patient did not receive any part of the secret discount and paid 20% of the full bill.

In the mid-1980's, Humana Insurance launched a television commercial and direct mail campaign targeting thousands of employers, whereby it represented: "Humana is a hospital company, so we can control costs, saving employers and employees money," and "[b]ecause we can control costs, both you and your company can save a great deal of money without the song and dance." SEC disclosures filed by Humana made similar promises, professing that the health insurance plans were "designed to encourage patients to obtain necessary care in Humana hospitals, where savings could be shared with employers and their employees through lower premiums."

In the mid to late 1980's, at the height of this scheme, Humana Hospital Sunrise was the most expensive hospital in Nevada. The State of Nevada

ranked first in the United States in hospital profitability. In 1986, Humana Hospital Sunrise experienced a 42.2% return on investment, contrasting sharply with the 10.3% hospital national average. Humana Hospital Sunrise held many health care cost records from 1986-88, charging the highest amount per patient, earning the highest revenue per patient, and realizing an average $1,363.00 profit every time a patient was admitted.

The Respondents consist of two classes of insureds: those who made only health insurance premium payments (Premium Payors), and those who also made co-payments for medical treatment (Co-Payors). Together, they asserted claims based on ERISA, RICO, and Section 2 of the Sherman Act. Although the district court granted summary judgment on several aspects of these claims, the pre-emption of RICO by the McCarran-Ferguson Act is the only subject of Humana's Petition and this Opposition.

The Humana Defendants moved the district court for summary judgment on the ground that application of RICO to the fraudulent billing practices alleged here was pre-empted by Section 2 of the McCarran-Ferguson Act, arguing that the plaintiff class was limited to state remedies and that no state remedy existed for their damages. The district court embraced the defendants' argument, agreed that all four prongs of the McCarran-Ferguson test were satisfied, and granted the defendants' motion.

The Ninth Circuit reversed based upon the disharmony of the district court's decision with well-reasoned precedent of this Court and other courts of

appeals. The panel concluded that RICO did not impair or conflict with Nevada's insurance laws in violation of the McCarran-Ferguson Act because each statutory scheme permitted a plaintiff to recover for his or her injuries.

The Humana defendants argue that two recent circuit court decisions reached conclusions contrary to that of the Ninth Circuit panel in the instant case and this asserted conflict requires this Court to resolve the issue. In reality, there is no conflict or minimal conflict. However, in the event that this Court rejects Respondents' arguments and elects to hear this case, Respondents have filed, concurrently herewith, in the alternative and under separate cover, a Conditional Cross-Petition for Writ of Certiorari pursuant to Rule 12.5 of the Rules of this Court.

REASONS FOR DENYING HUMANA'S PETITION

Humana represents that an inter-circuit split in the treatment of the pre-emption of RICO claims by the McCarran-Ferguson Act so cleaves the law in this regard that reconciliation by this Court is necessary. This is simply not true.

The inter-circuit split identified by Humana springs solely from a recent misinterpretation of precedent by the Sixth and Eighth Circuits.[4] Only two

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[4] Petitioner contends that the Fourth Circuit's position agrees with that of the Sixth and Eighth Circuits. Nevertheless, the Fourth Circuit's opinion lacks an

decisions have arguably failed to understand this Court's pre-emption decisions. Hence, this purported inter-circuit rift is not yet sufficiently developed to warrant this Court's precious attention. Moreover, an examination of the decisions proffered by Petitioners as disharmonic with the conclusion reached by the Court of Appeals in the instant case reveals that no real, supported conflict worthy of this Court's present resolution exists.

Petitioner first cites *Doe v. Norwest Bank Minn.*, 107 F.3d 1297, 1306-08 (8th Cir. 1997). The *Doe* court mistakenly adopted a broad reading of the fourth prong of the McCarran-Ferguson Act (MFA) and found an impairment because "the extraordinary remedies of RICO would frustrate, even supplant, [the state's] carefully developed scheme of [insurance] regulation," by permitting the recovery of treble damages and attorneys fees in a private action where state law only provided for administrative relief. This decision ignores clearly contrary precedent of this Court as well as the legislative intent and express language of the RICO statutes.

Since the inception of the RICO statutes, the Congress, this Court and the Courts of Appeal have consistently required that RICO, a remedial statute, be broadly interpreted. *Sedima S.P.R.L. v. Imrex Co.*, 473 U.S. 479, 491 n.16, 497-98 (1985); *United States v. Ginsburg*, 773 F.2d 798, 802 (7th Cir. 1985) (quoting Pub. L. No. 91-452, § 904(a), 84 Stat. 947, and stating

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independent analysis of the issue and therefore, is hardly the mature, final word of the circuit.

that RICO must be "liberally construed to effectuate its remedial purposes.") *cert. denied*, 475 U.S. 1011 (1986). In contrast, Congress intended -- and the courts repeatedly reinforce -- that the MFA must be narrowly construed.[5] *Doe*'s broad construction of the MFA and narrow application of RICO is therefore contrary to established precedent.

Additionally, the *Doe* holding flies in the face of this Court's general pre-emption jurisprudence by ignoring the parallels between federal pre-emption of state laws and state pre-emption of federal laws. "The MFA establishes a form of inverse pre-emption. . . ." Accordingly, basic principles governing federal pre-emption of state law are germane to the analysis of MFA pre-emption. *See Merchants Home Delivery Serv., Inc. v. Frank B. Hall & Co., Inc.*, 50 F.3d 1486, 1492 (9th Cir. 1995), *cert. denied sub nom Brometheus Funding Corp. v. MHDS, Inc.*, 116 S. Ct. 418 (1995); *American Family*, 978 F.2d at 296. This Court's decisions unequivocally reflect the clear teaching that

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[5] *See, e.g.,Stephens v. Nat'l Distillers & Chem. Corp.*, 69 F.3d 1226, 1231 (2d Cir. 1996); *Spirit v. Teachers Ins. & Annuity Ass'n*, 691 F.2d 1054, 1066 (2d Cir. 1982), *vacated on other grounds*, 463 U.S. 1223, 103 S. Ct. 3565, 77 L. Ed. 2d 1406 (1983); *cf. S.E.C. v. Nat'l Sec., Inc.*, 393 U.S. 453, 895 S. Ct. 564, 21 L. Ed. 2d 668 (1969) (stating that the MFA "did not purport to make the states supreme in regulating all the activities of insurance companies," and refusing to interpret the MFA as an "overly broad restriction on federal power"); *NAACP v. American Family Mut. Ins. Co.*, 978 F.2d 287, 294-95 (7th Cir. 1992); *Cochran v. Paco*, 606 F.2d 460, 467 (5th Cir. 1979).

pre-emption be invoked only when there exists a direct clash between a federal law and a state regulation. Additional and different yet non-conflicting remedies are repeatedly held to be not pre-empted.

Silkwood v. Kerr-McGee, 464 U.S. 238, 104 S. Ct. 615, 78 L. Ed. 2d 443 (1984) is the quintessential case in this regard. In *Silkwood*, this Court observed that the proper approach to pre-emption was to consider "whether there is an irreconcilable conflict between the federal and state standards or whether the imposition of a state standard in a damages action would frustrate the objectives of the federal law." *Id.* at 256. That approach in hand, this Court squarely upheld the concurrent imposition of federal fines and state punitive damages for the same tort, rejecting the related argument that the award of punitive damages for radiation hazards was barred because it conflicted with the federal remedial scheme, and finding no conflict between the federal and state laws.[6]

Subsequent opinions of this Court consistently follow the course set by *Silkwood*, and have found pre-emption inapplicable to the concurrent assessment of federal fines and state fraud damage awards for cigarette advertising disclosure violations, *Cipollone v.*

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[6] If this Court can find the application of punitive damages -- *not* directly limited to a multiple of actual damages -- consistent with a parallel remedy of compensatory damages, surely the imposition of federal treble damages -- *limited* by the amount of actual damages -- is not barred by the availability of state actual damages in this case.

Liggett Group, Inc., 505 U.S. 504, 546, 112 S. Ct. 2608, 120 L. Ed. 2d 407 (1992), anti-trust violations, *California v. ARC America Corp.*, 490 U.S. 93, 109 S. Ct. 1661, 104 L. Ed. 2d 86 (1989) (permitting levy of federal treble damages simultaneously with state fraud damages), and medical safety breaches. *Hillsborough County v. Automated Medical Laboratories, Inc.*, 471 U.S. 707, 105 S. Ct. 2371, 85 L. Ed. 2d 714 (1985). Thus, this Court has established beyond question that where "state and federal rules [ ] are substantially identical but differ in penalty, [they] do not conflict with or displace each other." *American Family*, 978 F.2d at 297. Accordingly, the only appropriate holding on the effect of the MFA on RICO's application to health care fraud is that offered by the Ninth Circuit in *Merchants* and the instant case.

The *Doe* decision is also at odds with the legislative purpose reflected in the text of the RICO statutes. *Doe* holds that RICO cannot be applied consistently with state insurance laws under the MFA. "Congress[, however,] enacted RICO in order to supplement, not supplant the available remedies since it thought those remedies offered too little protection for the victim." *Haroco, Inc. v. American Nat'l Bank & Trust Co. of Chicago*, 747 F.2d 384, 392 (7th Cir. 1984), *aff'd*, 473 U.S. 606 (1985). RICO's sanctions and those incorporated by other laws federal and state are, according to the RICO text, to exist side by side. Pub. L. No. 91-452, § 904(a), 84 Stat. 947 (1970); *United States v. Turkette*, 452 U.S. 576, 586 n.9, 101 S. Ct. 2524, 69 L. Ed. 2d 246 (1981) (stating that states are free to exercise power "to the fullest 'extent'"). The existence of such cumulative remedies furthers their remedial purposes. *Herman & McLean v. Huddleston*,

459 U.S. 375, 386, 103 S. Ct. 683, 74 L. Ed. 2d 548 (1983). Any holding that RICO's civil sanctions impair state law is, therefore, squarely inconsistent with RICO's express text.

The second case cited by Petitioner is *Kenty v. Bank One, Columbus, N.A.*, 92 F.3d 384 (6th Cir. 1996). *Kenty* is wrongly and inadequately reasoned and it also ignores the relevant case law in the area. The *Kenty* opinion is devoid of any analysis of *Merchants* or *American Family*, the two most highly cited circuit cases on MIFA pre-emption. *Kenty*'s only reference to *Merchants* parenthetically notes only its holding regarding the third prong of the MFA, irrelevant to the resolution of the issue at hand.

Although the *Kenty* court notes its own decision in *Nationwide Mut. Ins. Co. v. Cisneros*, 52 F.3d 1351 (6th Cir. 1995), *cert. denied*, 116 S. Ct. 973 (1996), it mischaracterizes the holding of the case as protective of state laws, when the *Cisneros* court actually concluded, in accordance with *Merchants* and the Ninth Circuit panel in the instant case, "that the presence of additional remedies" in a federal law does not impair the state insurance law at issue. *Cisneros*, 52 F.3d at 1363.

Moreover, *Kenty* may not be sufficiently factually analogous to the instant case to qualify as conflicting. The *Kenty* court based its conclusion partly on its observation that "Ohio law may employ a different standard than the one under RICO to determine when" the statute is violated. *Kenty*, 92 F.3d at 392. If this is the case, the decision is based not on RICO's upset of the balance of the state law and its

intended purpose, but on a direct conflict between the state and federal statutes, and it therefore does not decide the issue raised by this case. *See Dornberger v. Metropolitan Life Ins. Co.*, 961 F. Supp. 506, 518 n.6 (S.D.N.Y. 1997) (rejecting the Eighth Circuit "upset the balance" approach to the fourth prong of the MFA and permitting RICO and state insurance fraud claims to co-exist despite their different penalties.)[7]

Accordingly, as no real inter-circuit conflict exists that warrants this court's resolution, Humana's Petition for Writ of Certiorari must be denied.

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[7] The district court was simply wrong when it held, without textual analysis, that NEV. REV. STAT. § 686A.290, as incorporated in Nevada RICO, located at NEV. REV. STAT. § 207.360(30), which authorizes treble damages under state law, *see* NEV. REV. STAT. § 207.470(1), is not broad enough to include a false statement on an application for insurance made, not only by an insured, but also an insurer. *Forsyth v. Humana, Inc.*, 827 F. Supp. at 1522 n.33; *see* NEV. REV. STAT. § 686A.290 ("other person. . . make false statement . . . with reference to any application"). Accordingly, Nevada law also authorizes treble damages for insurance fraud, except where ERISA pre-empts it. If this analysis is correct, the MFA holding of the Ninth Circuit is not necessarily of general application. Therefore, this Court could, and should, affirm on an independent and adequate state law ground.

CONCLUSION

For the foregoing reasons, Humana's Petition for Writ of Certiorari should be denied. However, should this Court disagree and grant certiorari in this matter, Respondent's Conditional Cross-Petition, filed concurrently herewith, should be granted.

September 12, 1997

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